

Bruhat Bangalore Mahanagara Palike ... vs M/S Struct Geotech Research ... on 20 January, 2025

KABC170024392024

IN THE COURT OF LXXXIII ADDL. CITY CIVIL & SESSIONS JUDGE,
COMMERCIAL COURT, BENGALURU (CCH-84)
Present: Sri S. Sudindranath, LL.M., M.B.L.,
LXXXIII ADDL. CITY CIVIL & SESSIONS JUDGE
BENGALURU.

COM.A.P.No.139/2024

Dated on this 20th day of January 2025

Petitioner/s 1. Bruhat Bangalore Mahanagara
Palike (BBMP)
Office at N R Square,
Bengaluru - 560001.
Represented by its
Chief Commissioner

2. Executive Engineer,
Quality Control Division - 2
Bruhat Bangalore Mahanagara
Palike, Office at N R Square,
Bengaluru - 560 001.

(By Sri. Prashanth Chandra S.N.,
Advocate)

// versus //

Respondent/s 1. M/s Struct Geotech Research
Laboratories (P) Ltd. (STRUCT),
No.588, 2nd Main, 6th Block,
Hosakerehalli Cross, BSK 3rd Stage,
2nd Phase, Bengaluru - 560 085.
Represented by its Authorized Signatory
Mrs.Vinutha Prakash

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2. Sri. H.M.Nanjundaswamy
Former District Judge & Former

Director, Arbitration & Conciliation
Centre, Sole Arbitrator,
Arbitration & Conciliation Centre,
Bengaluru (Domestic & International)
Khanija Bhavana, Race Course Road,
Bengaluru - 560 001.

(By R.1 Exparte & R.2 Arbitrator)

Date of institution of suit	:	12/09/2024
Nature of suit	:	Arbitration Suit under
	:	Arbitration Act
Date of commencement	of	-
recording of the evidence	:	
Date on which the judgment	:	20/01/2025
was pronounced	:	
	:	Year/s Month/s Day/s
Total duration	:	00 04 08

JUDGMENT

This is a petition under Section 34 of the Arbitration and Conciliation Act filed by the respondents before the learned arbitrator challenging the arbitral award dated 04-05-2023 passed by the learned sole arbitrator, namely respondent No. 2 herein, in AC 10 of 2022 awarding 34,33,562/= [less Rs. 1,95,000/=] along with interest at CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 12% per annum compounded quarterly from the date of petition till the date of payment, in favour of the claimant before the learned arbitrator, namely the respondent No. 1 herein.

2. On issuance of notice of the present petition, the respondent No. 1 / claimant is duly served on office clerk through court and placed exparte. The notice to the learned arbitrator is dispensed with.

3. The arbitration records have been secured from the arbitration centre.

4. However, since, the claim statement and statement of defence have been returned to the respective parties by the Arbitration Center, learned counsel for Petitioner herein, at the time of arguments has filed memo producing the copy of Statement of Claim and Original Statement of Defence filed before the Arbitral Tribunal and same is taken on record.

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5. I have heard the arguments of Learned Counsel for Petitioner and perused the records of the case.

6. The only point that arises for my consideration is :-

Whether the impugned arbitral award dated 04-5-2023 passed by the learned herein, in AC 10 of 2022, calls for interference under Section 34 of the Arbitration and Conciliation Act?

7. My answer to the above point is in the affirmative for the following :-

REASONS

8. The facts in brief are that, the Respondent No. 1 herein, [hereinafter referred to as the claimant], is an accredited laboratory consultant providing services to the civil engineering sector. The petitioners herein, [hereinafter collectively referred to as the BBMP], had called tender for selecting lab consultants for quality control of the works undertaken by BBMP through civil contractors. The claimant participated in the said tender and was awarded work order dated 18-3-2013. In this CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 regard, the parties also entered into a contract dated 18- 3-2013.

9. Under the contract, the responsibility of the claimant was to provide consultancy service and laboratory testing of construction materials used by the contractors for doing the civil work of BBMP and to issue certificates in respect of the same. It is only on the claimant issuing certificates certifying the quality of the construction material used by the civil contractors that, the BBMP would clear the bills of the civil contractors for such works.

10. Accordingly, the claimant carried out its work under the contract and submitted invoice dated 29-01-2015 for sum of Rs. 1,95,000/=. Since BBMP did not clear the said invoice in spite of several reminders and also issuance of legal notice, the claimant approached the MSMED Facilitation Council under Section 18 of the MSMED Act, since the claimant is a registered supplier CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 under the Act. The MSMED Facilitation Council conducted conciliation proceedings, and since conciliation failed, the Facilitation Council referred the matter to Arbitration to the Arbitration Centre, Bangalore.

11. Accordingly, the Respondent No. 2 entered upon the reference as the learned sole arbitrator.

12. The claimant filed a detailed statement of claim dated 28-9-2022 before the learned arbitrator. In the said claim statement, the aforesaid facts were reiterated, and it was stated that the invoice amount of Rs. 1,95,000/= was paid by BBMP only on 01-02-2022. Hence, it was contended that, there is delay in payment of the invoice, from 45 days from the date of invoice when it became payable under section 16 of the MSMED Act till 1-02-2022 and hence claim No. 1 was raised for interest for said period which was quantified, as per the summary of claim marked as Ex. P7 at Rs. 19,33,562. In addition, CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 claim No. 2 was raised for the cost of the arbitration proceedings of Rs. 15 lakhs and therefore, the claim statement was filed for recovery of total sum of Rs. 34,33,562.

13. To the said claim statement, the BBMP filed a detailed statement of objections. The BBMP admitted awarding the work order and entering into the contract with the claimant. However, it was

contended that from the invoice, there is nothing to show that the claimant has completed the work in accordance with the contract. Further, it was contended that the invoices do not indicate the enclosures of the test reports.

14. Another contention raised was that, as per Clause 2

(b) of the contract, the competent authority to release payments to the claimant is the divisional executive engineer, and therefore, the invoices had to be submitted to the said authority. However, the claimant had submitted the invoice to the executive engineer.

CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 Therefore, it was contended that the invoice was not submitted to the proper authority within BBMP, and hence, the invoice cannot be considered.

15. Another contention taken was that the invoice is dated 29-01-2015 and claim has not been raised within three years from the date of the last invoice, and therefore the claim is barred by limitation.

16. With these contentions, the BBMP prayed for dismissal of the claim petition.

17. The claimant filed a detailed rejoinder to the said objection statement.

18. On the basis of the rival pleadings of both sides, the following issues were framed:

- 1) Whether the claimant proves that it is an institution within the fold of MSMED Act 2006?
- 2) Whether the claimant is entitled for an amount of Rs. 34,33,562 as claimed in the petition?

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3) Whether the claimant is entitled for interest as per Section 16 of the MSMED Act 2006?

4) Whether the claim petition is bad for mis-joinder of causes of action?

5) Whether the claim is barred by time?

6) What award?

19. In the inquiry before the learned arbitrator, both sides agreed to dispense with oral evidence and to proceed on the basis of documents marked by consent. Accordingly, on behalf of the claimant, Ex. P1 to P14 were marked. No documents were produced and marked on behalf of the BBMP.

20. Thereafter, after hearing both sides, the learned arbitrator answered issue No. 1 to 3 in the affirmative, issue No. 4 & 5 in the negative, and has passed the impugned arbitral award directing the BBMP to pay sum of Rs. 34,33,562 [less Rs. 1,95,000 paid by BBMP, if not deducted already] along with interest at 12% per annum compounded quarterly from date of petition till CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 realization and also directed BBMP to pay to the claimant all money deposited by the claimant including any on behalf of the BBMP towards arbitrators' fee, administration charges, and sitting charges.

21. Aggrieved by the said arbitral award, the BBMP viz. the respondents before the learned arbitral tribunal, are before this court, seeking to set aside the award under Section 34 of the Arbitration and Conciliation Act.

22. In support of the present petition, the Learned Counsel for Petitioners has essentially urged 4 points. He has reiterated the contention taken before the Learned Arbitrator that, the invoices were submitted by the claimant to improper authority, i.e. to executive engineer, whereas under the contract, the payment had to be released by the divisional engineer. Therefore, he submitted that if the invoices are submitted to the improper authority, there was no question of BBMP considering the same and releasing payment. He also CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 reiterated the contention taken before the learned arbitrator that there is no proper proof adduced by the claimant to show that the claimant has actually done the work under the contract. The principal contention urged by him was that the claim was barred by limitation and therefore ought to have been dismissed by the learned arbitrator. Lastly, it was argued that, in the operative portion of the award, the BBMP is directed to pay Rs. 34,33,562 less than Rs. 1,95,000 paid by BBMP, if not already deducted and thereby the award is vague and is liable to be set aside on this ground.

23. As already noted, the Respondent No. 1, who was the claimant before the arbitral tribunal, is *exparte*.

24. Notwithstanding the fact that the Respondent No. 1 is *exparte*, this court has to still consider on merits whether the grounds taken in the petition fall within the scope of section 34 of the Arbitration and Conciliation Act CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 and whether on such grounds the arbitral award can be set aside.

25. At the outset, this court has to consider whether the present petition is filed within the period of limitation as provided under section 34 [3] of the Arbitration and Conciliation Act. This question has to be decided by this court although the contesting Respondent No. 1 is *exparte*, since, under section 3 of the Limitation Act, the point of limitation has to be considered by the court even if the same is not raised as a defence.

26. This question assumes importance in view of the fact that the impugned arbitral award is dated 4-5-2023 whereas the present petition under section 34 of the Arbitration and Conciliation Act is filed after nearly one year and four months on 12-9-2024. It is to be noted that under Section 34 [3] of the Arbitration and Conciliation Act, the Section 34 petition has to be filed within 3 months from

the date of receipt of the arbitral award by CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 the petitioner. The court has the discretion to condone further period of 30 days under Proviso to Section 34 [3] of the Act, but, thereafter even the court has no discretion to condone the delay.

27. In this regard, along with the present petition, the petitioner has filed certified copy of "copy application register" of the Arbitration Centre which discloses that, the award is furnished to the advocate for Petitioner [respondent before the arbitral tribunal] only on 15-06- 2024. It is to be noted that, under section 34 [3] of the Act, the period of limitation begins to run not from the date of the Award, but, from the date on which the award is received by the petitioner. Therefore, from the certified copy of the Copy Application Register produced along with the petition, it is clear that, the award was furnished to the petitioner herein only on 15-06-2024 and therefore limitation has to be counted from said date. There is no reason to disbelieve the version of the petitioner that the award was received only on 15-06-2024 particularly CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 since the respondent No. 1 is exparte and has not contested the said fact put forth by the petitioner herein. Therefore, if the limitation is counted from 15-6-2024, within 3 months from the said date on 12-9-2024, the petition is filed and therefore the present petition is within the period of limitation.

28. Turning to the merits of the present petition, at the outset, it is to be noted that, there is no dispute that under the work order and contract dated 18-03-2013, the BBMP awarded the contract to the claimant to provide civil engineering consultancy service for lab testing of construction materials to be used by the civil contractors for the construction of various projects for BBMP. It is for recovery of invoice amount dated 29-01-2015 in respect of work done under the said contract that the claim was raised by the claimant.

29. The first contention raised that, the said work was not completed by the claimant, is a purely factual CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 contention which cannot be considered in a petition under section 34 of the Act. Even otherwise, admittedly the invoice amount of Rs. 1,95,000 has already been paid by BBMP to the claimant on 1-2-2022 and therefore, this contention does not survive because the very fact that the invoice amount has already been cleared by BBMP is testimony to the fact that, the claimant had done the work under the invoice.

30. The second contention raised by the BBMP that the invoices were not submitted to the proper authority, viz. Division Engineer, but were submitted to Executive Engineer is a contention only to be stated to be rejected because ultimately the BBMP is a statutory authority represented by its Chief Commissioner. The BBMP performs its functions through a hierarchy of officials. However, all the officials are the officers of BBMP and therefore no distinction can be drawn between a divisional engineer and executive engineer insofar as submitting the invoices is concerned. Even otherwise, as CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 already noted supra, it is admitted that the invoice amount was cleared by BBMP on 1-2-2022 and therefore it means that the submission of the invoice to executive engineer is inconsequential since the BBMP itself has cleared the invoice. Therefore, this contention also does not survive for consideration.

LIMITATION

31. Now, let me consider the question of limitation which is the main ground raised in the present petition.

32. The contention of the Petitioners / BBMP in this regard is that, the invoice in respect of which payment is claimed is dated 29-01-2015 and therefore, within the period of three years from the date of invoice, i.e. on or before 29-01-2018, the claimant should have approached the Facilitation Council under the MSMED Act. But admittedly, the claimant approached the Facilitation council only on 18-02-2019. Therefore, it is contended CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 that the claim itself is barred by limitation and could not have been allowed by the learned arbitrator.

33. In considering this question of limitation at the outset, it is to be noted that, as per the law laid down by Hon'ble Apex Court the provision of Limitation Act applies even to arbitrations initiated under Section 18 (3) of MSMED Act 2006. In this regard, reference may be made to the law laid down by Hon'ble Apex Court in the case of Silpi Industries v. Kerala SRTC, (2021) 18 SCC 790 : 2021 SCC OnLine SC 439 at page 806, as follows;

26. Applicability of the Limitation Act, 1963 to the arbitrations is covered by Section 43 of the 1996 Act. The High Court, while referring to abovesaid provisions and the judgment of this Court in A.P. Power Coordination Committee v. Lanco Kondapalli Power Ltd. [A.P. Power Coordination Committee v. Lanco Kondapalli Power Ltd., (2016) 3 SCC 468] has held that the Limitation Act, 1963 is applicable to the arbitrations covered by Section 18(3) of the 2006 Act.

CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 A reading of Section 43 itself makes it clear that the Limitation Act, 1963 shall apply to the arbitrations, as it applies to proceedings in court. When the settlement with regard to a dispute between the parties is not arrived at under Section 18 of the 2006 Act, necessarily, the Micro and Small Enterprises Facilitation Council shall take up the dispute for arbitration under Section 18(3) of the 2006 Act or it may refer to institution or centre to provide alternate dispute resolution services and provisions of the Arbitration and Conciliation Act, 1996 are made applicable as if there was an agreement between the parties under sub-section (1) of Section 7 of the 1996 Act.

27. In view of the express provision applying the provisions of the Limitation Act, 1963 to arbitrations as per Section 43 of the Arbitration and Conciliation Act, 1996, we are of the view that the High Court has rightly relied on the judgment in A.P. Power Coordination Committee [A.P. Power Coordination Committee v. Lanco Kondapalli Power Ltd., (2016) 3 SCC 468] and held that the Limitation Act, 1963 is applicable to the arbitration proceedings under Section 18(3) of the 2006 Act. Thus, we are of the view that no further elaboration is necessary on this issue and we hold that the provisions of the Limitation Act, 1963 will apply to the arbitrations covered by Section 18(3) of the 2006 Act. We make it clear that as the judgment of the High Court CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 is an order of remand, we need not enter into the controversy whether the claims/counterclaims are within time or not. We keep it open to the

primary authority to go into such issues and record its own findings on merits.

(Emphasis Supplied)

34. In fact, the learned arbitrator also refers to the said ruling of Hon'ble Apex Court at paragraph 26 of the award, as follows;

"The counsel for the claimant has relied upon the decision in M/s Silpi Industries v. Kerala State Road Transport Corporation in 2021 SCC Online SC 439, the Hon'ble Supreme Court of India. The Hon'ble Supreme Court in Silpi Industries noted that in case a dispute arose under Section 17 of the MSMED Act, a reference must be made to the Council. The Council was then to refer the parties to conciliation and if the conciliation proceedings failed, the Council was to refer the dispute to arbitration, (either administered by itself or by any institution or center deemed fit by the Council) under Section 18 of the MSMED Act. In view of the same, it looks to me that the question of limitation does not arise till the MSME Council refer the parties to arbitration."

(Emphasis In Original) CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024

35. However, the Hon'ble Apex Court in Silpi Industries v. Kerala SRTC (Supra) has nowhere laid down the law that the question of limitation does not arise till the parties are referred to arbitration. The specific law laid down by Hon'ble Apex Court in the afore- stated ruling is that the provisions of Limitation Act will apply to arbitrations covered by Section 18 (3) of MSMED Act.

36. In view of the said law laid down by the Hon'ble Apex Court, it becomes necessary to see when the limitation begins to run and whether the reference to the Facilitation Council under Section 18 (1) of the Act was made within the period of limitation.

37. In this regard, the learned arbitrator at paragraph 20 & 21 of the award has referred to various articles of the Schedule of the Limitation Act and ultimately opined that it is the Residuary Article, namely Article 113, which is applicable to the case on hand. This finding regarding CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 the applicability of Article 113 of the Limitation Act is not challenged before me. Even otherwise, the finding of the learned arbitrator that none of the articles of the Limitation Act except the Residuary Article i.e. Article 113 applies to the facts of the present case is perfectly in accordance with law.

38. Article 113 of the Limitation Act, provides that the period of limitation for any suit for which no limitation is provided elsewhere in the schedule shall be three years when the right to sue accrues. The learned arbitrator at Paragraph 21 to 24 of the award has referred to the ruling of Hon'ble Apex Court in Shakti Bhog Food Industries Ltd. v. Central Bank of India, (2020) 17 SCC 260 : (2021) 4 SCC (Civ) 286 : 2020 SCC OnLine SC 482.

39. The facts of the said case were that, certain excess charges were levied by the bank up to October 2000. These excess charges were noticed by the plaintiff in July CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 2000 and the plaintiff issued a letter dated 21-07-2000 to the bank. On 9-7-2001, the Assistant General Manager of the bank informed the plaintiff that comments from the branch office concerned had been invited and appropriate decisions would be taken on the plaintiff's representation as early as possible. On 8-5-2002, the Senior Manager repudiated the contention of the plaintiff, which was followed by another letter of the Senior General Manager dated 19-09-2002. In this background, the trial court, the district court, and Hon'ble High Court in the said case had rejected the plaint as barred by limitation under Order 7 Rule 11 of the CPC on the ground that the cause of action accrued in October 2000, up to which date the alleged excessive charges were charged by the bank and therefore suit filed on 23-02-2005 would be barred by limitation. When the matter reached the Hon'ble Apex Court, it was held as follows;

Shakti Bhog Food Industries Ltd. v.

Central Bank of India, (2020) 17 SCC 260 CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 : (2021) 4 SCC (Civ) 286 : 2020 SCC OnLine SC 482 at page 273

12. From the averments in the plaint, if read as a whole, it would appear that the assertion of the appellant is that the respondents had extended financial facility with effect from 1- 4-1997 till October 2007, but somewhere in the month of July 2000, the appellant noticed that the respondents were unilaterally charging interest/commission @ Rs 4 per thousand Rs. on local cheques and drafts in an arbitrary manner in violation of the assurance given to the appellant. Immediately thereafter, the appellant wrote to the respondent Bank vide letter dated 21-7- 2000 for taking corrective steps in the matter. Then correspondence ensued between the parties in that regard and the appellant was assured by the regional office of the respondent Bank that an appropriate decision will be taken at the earliest. The relevant assertion in that regard is found in Para 11 of the plaint, wherein it is mentioned that the Assistant General Manager Shri P.S. Bawa of Regional Office-B, Delhi, vide letter dated 9-7-2001 informed the appellant that comments from the branch office concerned have been invited and appropriate decision will be taken on its representation as early as possible. Thereafter, on 8-5-2002, the Senior Manager of the respondent Bank informed the appellant that the cheques were being purchased at the prevailing rates; which plea, according to the appellant, was to deviate from the position stated by the Assistant General Manager of Regional Office in his CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 letter dated 9-7-2001 referred to earlier. Resultantly, the appellant wrote to the officials of the respondent Bank vide letters dated 12-7-2002, 22-9-2002 and 24-3-2003.

13. Notably, it is averred in Para 15 of the plaint that the Senior Manager of the respondent Bank vide letter dated 19-9- 2002 had informed the appellant that everything was being done in accordance with the rules and the appellant need not pursue the matter any further. It is asserted that despite this intimation, the appellant continued to correspond with the respondent Bank with a sanguine hope that the issue will be resolved at the appropriate level by the Bank and finally issued a legal notice on 28-11-2003, which was duly responded to by the respondent Bank vide advocate's

letter dated 23-12-2003. Nevertheless, the appellant gave another legal notice on 7-1-2005 and thereafter, proceeded to file the subject suit in February 2005.

15. As aforesaid, on reading the plaint as a whole, it is seen that the gravamen of the case made out in the plaint is that the appellant noticed the discrepancy in July 2000 and immediately took up the matter with the officials of the respondent Bank at different levels and in response, the Assistant General Manager of the Regional Office of the Bank had communicated in writing to the appellant vide letter dated 9-7-2001, that its representation was being examined and comments of the branch office have CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 been invited and after receipt thereof the matter will be decided as early as possible. As no further communication was received by the appellant, it had to make a representation to the Finance Minister, Government of India, vide letter dated 31-10- 2001 and presumably because of that, the appellant received a communication from the Senior Manager vide letter dated 8-5-2002 informing the appellant that the cheques were being purchased at the prevailing rates. This stand taken by the Senior Manager was to sidetrack the issue pending consideration before the Assistant General Manager, Regional Office referred to in his letter dated 9-7-2001. The case made out by the appellant is that no communication was received by the appellant from the Assistant General Manager, Regional Office and instead, for the first time it was informed vide letter dated 19-9-2002 sent by the Senior Manager of the respondent Bank, that all actions taken by the Bank are as per the rules and, therefore, the appellant need not correspond in this regard any further. This response of the Bank could also be regarded as a firm denial or refusal by the authorised official of the Bank, giving rise to cause of action to sue the Bank.

16. Thus understood, the letter dated 8- 5-2002 sent by the Senior Manager of the respondent Bank, at best, be reckoned as accrual of the cause of action to the appellant to sue the respondent Bank. It is then stated that the appellant received a communication dated 19-9-2002, informing CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 the appellant that it should not carry on any further correspondence with the Bank relating to the subject-matter. Until then, the appellant was having a sanguine hope of favourable resolution of its claim including by the Regional Office of the respondents. The appellant, therefore, had to send a legal notice on 28-11-2003, to which the Bank responded on 23-12-2003. Reckoning these dates, the plaint filed on 23-2-2005 was within limitation, as stated in Para 28 of the plaint. Resultantly, the question of rejecting such a plaint under Order 7 Rule 11(d) CPC did not arise.

17. The expression used in Article 113 of the 1963 Act is "when the right to sue accrues", which is markedly distinct from the expression used in other Articles in First Division of the Schedule dealing with suits, which unambiguously refer to the happening of a specified event. Whereas, Article 113 being a residuary clause and which has been invoked by all the three courts in this case, does not specify happening of particular event as such, but merely refers to the accrual of cause of action on the basis of which the right to sue would accrue.

18. Concededly, the expression used in Article 113 is distinct from the expressions used in other Articles in the First Division dealing with suits such as Article 58 (when the right to sue "first" accrues), Article 59 (when the facts entitling the plaintiff to have the instrument or decree cancelled

or set aside or the contract rescinded "first" become CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 known to him) and Article 104 (when the plaintiff is "first" refused the enjoyment of the right). The view taken by the trial court, which commended to the first appellate court and the High Court in the second appeal, would inevitably entail in reading the expression in Article 113 as

-- when the right to sue (first) accrues. This would be rewriting of that provision and doing violence to the legislative intent. We must assume that Parliament was conscious of the distinction between the provisions referred to above and had advisedly used generic expression "when the right to sue accrues" in Article 113 of the 1963 Act. Inasmuch as, it would also cover cases falling under Section 22 of the 1963 Act, to wit, continuing breaches and torts.

22. It is well-established position that the cause of action for filing a suit would consist of bundle of facts. Further, the factum of the suit being barred by limitation, ordinarily, would be a mixed question of fact and law. Even for that reason, invoking Order 7 Rule 11 CPC is ruled out. In the present case, the assertion in the plaint is that the appellant verily believed that its claim was being processed by the regional office and the regional office would be taking appropriate decision at the earliest. That belief was shaken after receipt of letter from the Senior Manager of the Bank, dated 8-5-2002 followed by another letter dated 19-9-2002 to the effect that the action taken by the Bank was in accordance with the rules and the CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 appellant need not correspond with the Bank in that regard any further. This firm response from the respondent Bank could trigger the right of the appellant to sue the respondent Bank. Moreover, the fact that the appellant had eventually sent a legal notice on 28-11-2003 and again on 7-1-2005 and then filed the suit on 23-2-2005, is also invoked as giving rise to cause of action. Whether this plea taken by the appellant is genuine and legitimate, would be a mixed question of fact and law, depending on the response of the respondents.

23. Reverting to the argument that exchange of letters or correspondence between the parties cannot be the basis to extend the period of limitation, in our opinion, for the view taken by us hitherto, the same need not be dilated further. Inasmuch as, having noticed from the averments in the plaint that the right to sue accrued to the appellant on receiving letter from the Senior Manager, dated 8-5-2002, and in the particular letter dated 19-9-2002, and again on firm refusal by the respondents vide advocate's letter dated 23-12-2003 in response to the legal notice sent by the appellant on 28-11-2003; and once again on the follow-up legal notice on 7-1-2005, the plaint filed in February 2005 would be well within limitation. Considering the former events of firm response by the respondents on 8-5-2002 and in particular, 19-9-2002, the correspondence ensued thereafter, including the two legal notices sent by CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 the appellant, even if disregarded, the plaint/suit filed on 23-2-2005 would be within limitation in terms of Article 113.

24. The respondents had relied on the exposition of this Court in *Boota Mal v. Union of India* [*Boota Mal v. Union of India*, AIR 1962 SC 1716], *S.S. Rathore v. State of M.P.* [*S.S. Rathore v. State of M.P.*, (1989) 4 SCC 582 : 1990 SCC (L&S) 50], *Venkappa Gurappa Hosurv. Kasawwa* [*Venkappa Gurappa Hosur v. Kasawwa*, (1997) 10 SCC 66] and *Kandimalla Raghavaiah & Co. v. National*

Insurance Co. [Kandimalla Raghavaiah & Co. v. National Insurance Co., (2009) 7 SCC 768 : (2009) 3 SCC (Civ) 295] and of the Delhi High Court in C.P. Kapur [C.P. Kapur v. Chairman, 2012 SCC OnLine Del 5465 : (2013) 198 DLT 56] , to buttress the above argument, which, as aforesaid, is unavailable in light of the averments in the plaint under consideration. Suffice it to observe that going by the averments in the plaint, the argument of the respondents that the appellant had placed reliance on the correspondence to get extension of the limitation period, is untenable. The averments in the plaint, however, are very explicit to the effect that the grievance of the appellant about unilateral charging of interest/commission by the respondent Bank was firmly denied or refused by the Senior Manager of the respondent Bank vide letter dated 8-5-2002 and in the particular letter dated 19-9-2002 and again by Advocate's letter on 23-12- CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 2003, giving rise to cause of action and accrual of right to sue.

(Emphasis Supplied)

40. The categorical law laid down by Hon'ble Apex Court in the aforesaid Judgment is that for the purpose of Article 113 of the Limitation Act, the limitation begins to run when the cause of action accrues and not when the cause of action first accrues.

41. The learned arbitrator at paragraph 23 has held that, as per the above decision of Hon'ble Apex Court, "it is the response of the defendant which is firm in denying the claim that gives rise to the cause of action and nothing else, not the submitting of the bill, invoices, legal notice, but the response and the response alone."

42. It is trite that the law laid down in the rulings of Superior Courts have to be understood in the facts and circumstances of the said case. In this regard, the following rulings are instructive as to the manner in CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 which the ratio decidendi of a judgment is to be discerned;

Krishna Kumar v. Union of India, (1990) 4 SCC 207 : 1991 SCC (L&S) 112 at page 226

20. In other words, the enunciation of the reason or principle upon which a question before a court has been decided is alone binding as a precedent. The ratio decidendi is the underlying principle, namely, the general reasons or the general grounds upon which the decision is based on the test or abstract from the specific peculiarities of the particular case which gives rise to the decision. The ratio decidendi has to be ascertained by an analysis of the facts of the case and the process of reasoning involving the major premise consisting of a pre-existing rule of law, either statutory or judge-made, and a minor premise consisting of the material facts of the case under immediate consideration. If it is not clear, it is not the duty of the court to spell it out with difficulty in order to be bound by it. In the words of Halsbury (4th edn., Vol. 26, para 573) "The concrete decision alone is binding between the parties to it but it is the abstract ratio decidendi, as ascertained on a consideration of the judgment in relation to the subject matter of the decision, which alone has the force of law and which when it is clear it is not part of a tribunal's duty to spell out with difficulty a ratio decidendi in order to bound by it, and it is always CT 1390_Com.AP 139-2024_Judgment.doc

KABC170024392024 dangerous to take one or two observations out of a long judgment and treat them as if they gave the ratio decidendi of the case. If more reasons than one are given by a tribunal for its judgment, all are taken as forming the ratio decidendi."

Som Mittal v. Govt. of Karnataka, (2008) 3 SCC 574 : (2008) 2 SCC (Cri) 1 : (2008) 1 SCC (L&S) 910 : 2008 SCC OnLine SC 338 at page 580

9. When the words "rarest of rare cases" are used after the words "sparingly and with circumspection" while describing the scope of Section 482, those words merely emphasise and reiterate what is intended to be conveyed by the words "sparingly and with circumspection". They mean that the power under Section 482 to quash proceedings should not be used mechanically or routinely, but with care and caution, only when a clear case for quashing is made out and failure to interfere would lead to a miscarriage of justice. The expression "rarest of rare cases" is not used in the sense in which it is used with reference to punishment for offences under Section 302 IPC, but to emphasise that the power under Section 482 CrPC to quash the FIR or criminal proceedings should be used sparingly and with circumspection.

Judgments are not to be construed as statutes. Nor words or phrases in judgments to be interpreted like provisions of a statute. Some words used in a judgment should be read and understood contextually and are not CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 intended to be taken literally. Many a time a judge uses a phrase or expression with the intention of emphasising a point or accentuating a principle or even by way of a flourish of writing style. Ratio decidendi of a judgment is not to be discerned from a stray word or phrase read in isolation. (Emphasis Supplied)

43. Therefore, the law laid down by Hon'ble Apex Court in Shakti Bhog Food Industries Ltd. v. Central Bank of India (Supra) has to be understood from the overall reading of the reported ruling and in the background of the facts prevailing in said case. From reading of the said ruling of Hon'ble Apex Court as a whole, it is clear that, firstly, Hon'ble Apex Court has interpreted Article 113 of the Schedule of the Limitation Act, making it clear that the limitation will begin to run when the right to sue accrues as distinct from the right to sue first accrues. The distinguishing feature of the said case was that, in the said case, when the plaintiff first objected to excessive charges by letter dated 21-07-2000, there was CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 a reply by the Assistant General Manager dated 9-07- 2001 that a proper decision would be taken as early as possible. It is in this background that the Hon'ble Apex Court held that, only when there was a firm response from the bank rejecting the contention of the plaintiff by the letters dated 8-5-2002 and 19-9-2002, the same furnished the cause of action to the plaintiff, and even disregarding the subsequent correspondence, and considering that the cause of action occurred on the dates of such firm refusal by the bank, suit would be within limitation (Paragraph 23 of reported ruling). It is crucial to note that the Hon'ble Apex Court held that the firm refusal by the bank gave rise to the cause of action because of the earlier letter of the Assistant General Manager dated 9-7-2001 in which an assurance was given by the bank that the representation of the plaintiff is being considered and a decision will be taken as soon as possible. Therefore, it is only when such assurance CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 is given by the other side that the

plaintiff can wait for firm refusal of his claim and then file the suit.

44. Therefore, the finding of the learned arbitrator at paragraph 23 of the award that, as per the said decision of the Hon'ble Apex Court, "it is the response of the defendant, which is firm in denying the claim, that gives rise to the cause of action and nothing else not the submitting of the bill, invoices, letters, or legal notice, but the response and the response alone" is based on misunderstanding of the law laid down by the Hon'ble Apex Court and without taking note of the facts and circumstances in which the said law was laid down by the Hon'ble Apex Court in Shakti Bhog case supra.

45. In the case on hand, if, at any point of time the BBMP had given an assurance to the claimant that his claim is being considered and decision will be taken shortly, as was the fact situation in the case before the Hon'ble Apex Court, then the said ruling would be CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 applicable to the facts of the present case. In such a case, it could be said that the claimant could wait for the firm refusal and only on the firm refusal, the cause of action would accrue to the claimant and the limitation would begin to run. However, in the case on hand, in the statement of claim, there is no plea raised that, at any point of time after submitting the invoice, there was any assurance by the BBMP to consider the claim and to take a decision. In fact, an admission is made by the claimant that no such assurance was ever given by BBMP by pleading at paragraph 10 of the claim statement that although the claimant has time and again approached the respondent for release of the amount, it has fallen on deaf ears. This makes it clear that at no point in time there was any response by the BBMP that the claim of the claimant is being considered and a decision will be taken.

46. Such being the case, the said ruling of the Hon'ble Apex Court (Shakti Bhog case supra), in which there was CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 such a specific assurance by the defendant, cannot come to the aid of the claimant in the present case and said ruling is inapplicable to the case on hand.

47. Another reason given by the Learned arbitrator to hold that claim is within the period of limitation is at paragraph 29 of the Award holding that, the invoice amount was transferred by BBMP to the account of the claimant on 1-2-2022 as per Ex. P-12 and thereby if not acknowledgement of debt there was part payment of the claim which invalidates the claim of the respondents about limitation.

48. This finding of Learned arbitrator is totally contrary to law because under section 18 and section 19 of the Limitation Act, for any acknowledgment of debt or part payment to extend the period of limitation, the acknowledgment of debt or part payment should be made within the period of limitation. Any acknowledgment of debt or part payment, beyond the period of limitation, is CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 of no avail and will not have the effect of extending the period of limitation. In the case on hand, the payment of the invoice was made on 1-2-2022 which is subsequent to the date on which the claimant approached the MSMED facilitation council under section 16 of the MSMED Act.

49. Therefore, the payment of the invoice amount on 01-02-2022 being after the date on which the claimant had already approached the Facilitation Council, it will not help the claimant to show that the claim was within limitation as on the date of approaching the Facilitation Council on 18-02-2019.

50. It is to be noted that in the case on hand, the claim No. 1 as forthcoming from Paragraph 9 (a) of the claim statement is for interest for delayed payment of invoice dated 29-01-2015 which was paid only on 1-02-2022. At the end of paragraph 9a, it is stated that the claimant is entitled to interest from January 2015 to 31-01-2022 as CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 quantified in document No. 6. The said document No. 6 of the claim statement is marked as Ex. P7, under which, the due date for payment is stated as 15-03-2015 [45 days from date of invoice]. Therefore, according to the claimant, the cause of action for claiming interest under claim No. 1, accrued on 15-03-2015. Thereafter, there may have been any number of correspondences, representations, issuance of legal notices, etc. But the law is well settled that no amount of correspondence, representation, or exchange of legal notices can extend the period of limitation. In this regard, reference may be made to the law laid by the Hon'ble Apex Court in the case of Union of India v. Har Dayal, (2010) 1 SCC 394 : 2009 SCC OnLine SC 1837 at page 397, as follows;

10. The learned Single Judge and the Division Bench have totally ignored the enormous delay of more than 30 years on the part of the respondent in approaching the court. This Court has repeatedly held that merely giving representation will neither extend the limitation nor wipe out the delay and laches. (See S.S. Rathore v. State of M.P. [(1989) 4 SCC 582 : 1990 SCC (L&S) 50 :

CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 (1989) 11 ATC 913 : AIR 1990 SC 10]) Further, the respondent and his brothers were categorically informed in September 1989 that due to non-availability of agricultural land, they were entitled only to cash equivalent of compensation as per the Rules and therefore, Rs 383.50 each being their share of compensation was to their credit and they could draw the same. The respondent could have challenged that order on the ground that he was entitled to land and not cash. But he did not do so.

(Emphasis Supplied)

51. Such being the case, the subsequent correspondence will not furnish a fresh cause of action nor extend the period of limitation.

52. Therefore, the claimant ought to have approached the Facilitation Council under Section 18 (1) of the MSMED Act within three years from the date on which the cause of action accrued, which as already noted Supra is 15-03-2015, that is, the claimant ought to have approached the Facilitation Council on or before 15-3- 2018. However, as per the finding recorded in the award itself at paragraph 18, the claimant approached the CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 MSMED Facilitation Council only on 18-02-2019, which was clearly beyond the period of limitation. Be it noted that, as per the notice issued by the MSMED Facilitation Council

dated 23-09-2021, which is at Ex. P6, page 30 of the Claim Petition, at paragraph 4 it is stated that the claimant had filed application on 20-09-2018 under section 18 of the MSMED Act.

53. Whether it is considered that, the claimant approached the facilitation council on 18-02-2019 as stated at paragraph 18 of the award or on 20-09-2018 as stated in the said notice of facilitation council, the fact remains that the claimant approached the facilitation council subsequent to 15-03-2018 that is beyond the period of three years from the date on which the cause of action accrued. Therefore, the claim made by the claimant before the facilitation council was barred by limitation and such being the case, the claim ought to have been dismissed by the Learned Arbitrator as barred CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 by limitation and could not have been considered on merits by the Learned arbitrator.

54. In conclusion, in considering the question of limitation, the learned arbitrator rightly held that, it is Article 113, which is the residuary article that is applicable. However, the learned arbitrator committed an error apparent on the face of the record by misconstruing the law laid down by the Hon'ble Apex Court in the Shakti Bhog Food Industries Limited v. Central Bank of India case (SUPRA) by holding at paragraph 23 of the award that it is only the denial response of the defendant which gives rise to the cause of action. By so holding, the learned arbitrator totally misunderstood the fact situation in which the above law was laid down, wherein the bank had given an assurance to the plaintiff of the said case that his claim is being considered and a decision will be arrived at shortly. It is for this reason that the Hon'ble Apex Court held that the plaintiff was justified in awaiting a favorable decision from the bank, CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 and only when the bank gave a firm response denying the claim, did the cause of action accrue to the plaintiff. The fact situation of present case, being totally different and the well-settled position of law being that no amount of correspondence can extend the period of limitation or furnish a fresh cause of action, the learned arbitrator committed a serious error bordering on perversity in holding that such a belated claim is within limitation.

55. At paragraph 24 of the award, the learned arbitrator observes that the claimant believed that respondents were considering his claim as there was no rejection of the claim and went on requesting the respondent. However, this finding is manifestly erroneous on the face of the record because such a plea is not even put forth by the claimant anywhere in the statement of claim. Although in the claim statement reference is made to various correspondences and representations and reminder letters issued by the claimant, nowhere is a statement made in the claim statement that the claimant CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 kept quiet believing that his claim was being considered. Even if such a statement were to be made in the claim statement, the same would be of no avail because the rejection of the claim by the opposite side will furnish the cause of action only if on an earlier occasion an assurance had been made by the opposite side that the claim is being considered. Otherwise, belated and stale claims could be raised on the ground that the plaintiff or claimant was waiting, hoping that his claim would be considered, which would render the Limitation Act redundant.

56. At paragraph 26, the learned arbitrator, by referring to Silpi Industries v. Kerala State Road Transport Corporation case (SUPRA), observes that the question of limitation does not arise till

MSME Council refers the parties to arbitration, which is again an observation not found in the said ruling. In fact, the law laid out in the said ruling is that the Limitation Act applies to arbitrations under the MSMED Act. Needless to state, in CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 view of the said law, the claimant should approach the Facilitation Council under Section 18 (1) within the period of limitation. Otherwise, any arbitration initiated under the Act would be barred by limitation.

57. At paragraph 27 of the impugned award, the learned arbitrator has referred to Section 43 and 21 of the Arbitration & Conciliation Act, and then at paragraph 28 observed that the question of request for dispute to be referred to arbitration being received by the respondent does not arise when there is statutory reference. This observation is made in context of Section 21 of the Act, which provides that the arbitration proceedings are deemed to have commenced on the date on which the request for the dispute to be referred to arbitration is received by the respondent. However, in making this observation, where the learned arbitrator has committed error is in failing to appreciate that Section 2 Subsection CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 4 of the Arbitration and Conciliation Act provides as follows:

"This part, except subsection 1 of Section 40, Section 41, and Section 43, shall apply to every arbitration under any other enactment for the time being in force as if the arbitration were pursuant to an arbitration agreement and as if that other enactment were an arbitration agreement, except insofar as the provisions of this part are inconsistent with that other enactment or with any rules made thereunder."

58. In view of the above Section 2 Subsection 4 of the Arbitration and Conciliation Act, it follows that, that part of Section 43 which is inconsistent with MSMED Act, is inapplicable to arbitrations initiated under MSMED Act. Therefore, Section 43 (2), which provides that arbitration shall be deemed to have commenced on the date referred to in Section 21, is strictly inapplicable to arbitrations initiated under MSMED Act because it is a statutory arbitration and there is no question of the claimant issuing notice to the respondent requesting for dispute to be referred to arbitration. Therefore, on harmonious CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 construction of Section 18 (3) of the MSMED Act and Section 2 Subsection 4 of the Arbitration and Conciliation Act, it follows that in case of arbitrations initiated under MSMED Act, the arbitration shall commence on the date on which the claimant makes a reference to the Facilitation Council under Section 18 (1) of MSMED Act.

59. Therefore, the observation of the learned arbitrator that since there is no question of request for dispute to be referred to arbitration being issued by the claimant and received by the respondent, there is no question of the claim being barred by limitation runs contrary to the specific law laid down by Hon'ble Apex Court in Silpi Industries v. Kerala State Road Transport Corporation referred to supra, that Limitation Act applies to arbitrations initiated under MSMED Act.

60. At paragraph 25 of the impugned award, the learned arbitrator has summed up his findings by CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 holding that, "firstly, the claim is not barred by limitation, and even otherwise, the MSME Council had referred the matter for

arbitration by exercising statutory power, hence loss of time in prosecuting the matter before MSME Council is saved and later, there is no question of any limitation as there was reference by MSME Council for arbitration and registration of this case, which is the present proceedings." The flaw in this finding of the learned arbitrator is that the learned arbitrator has failed to note that, when the cause of action arose to the claimant to seek the invoice amount as on 15-03-2015 [45 days from date of invoice], and when subsequent representations and legal notices do not extend the period of limitation, then, the claimant should have approached the Facilitation Council under Section 18 (1) of the MSMED Act within three years from 15-03-2015, viz. on or before 15-03-2018. But admittedly, in this case, as per the finding of the Learned Arbitrator at Paragraph 18 of the award, the claimant approached the Facilitation Council only on 18-02-2019, CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 which was beyond the period of limitation. On this short ground, the learned arbitrator should have rejected the claim on the ground that it is barred by limitation.

61. Therefore, for the above reasons, I hold that the learned arbitrator has committed a patent illegality appearing on the face of the award, in holding that the claim was within limitation. In so holding, the learned arbitrator has misconstrued and misapplied the categorical law laid down by Hon'ble Apex Court. In holding that the claim was within time, not only has the learned arbitrator committed a patent illegality and recorded an erroneous finding whose error is apparent on the face of the record, but in allowing a time-barred claim, the learned arbitrator has passed an award which is in conflict with fundamental policy of Indian law since the fundamental policy of Indian law does not allow for awarding of time-barred claims. Therefore, the award CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 calls for interference under Section 34 (2) (b)(ii) for being in contravention with fundamental policy of Indian law, and also under Section 34 (2A), as the award is vitiated by patent illegality appearing on the face of the award.

62. There is another reason for setting aside the arbitral award. As already noted supra, under the award, the learned arbitrator has directed BBMP to pay Rs. 34,33,562 [less Rs. 1,95,000 paid by BBMP if not already deducted]. It is crucial to note that, as per the claim statement, 2 claims are raised. Claim No. 1 is for interest for delayed payment of the invoice amount and the quantification of the said claim is as per Ex. P7 which discloses that, the interest from 15-03-2015 up to January 2022 after deducting the principal amount is Rs. 19,33,562. Claim No. 2 is for the cost of the arbitration of Rs 15 lakhs Therefore the total claim raised is Rs.34,33,562. However, without appreciating that the CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 said sum of Rs. 34,33,562 is for both claim No. 1 and 2, the learned arbitrator has proceeded as if the said sum is only towards interest for delayed payment (Claim No. 1).

63. In this regard, the learned arbitrator has held at paragraph 34 of the award as follows;

"The claimant has produced the calculation of interest at Ex. P7 and the same is not challenged. It evidences the amount due by the BBMP to the claimant, interest calculated up to January 2022. There is no allegation of wrong calculation of it. In view of the same, the claimant is entitled to the amount claimed in the claim petition. Hence, I hold this issue in the affirmative."

64. Again, at paragraph 35, the Learned Arbitrator has held as follows;

"It may look that the claim seeking Rs. 34,33,562 when the principal amount payable was only Rs. 1,95,000 is very huge. But the object of the act and the loss of time in the claimant recovering the said amount and the impact of the same on a small industry should also be seen."

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65. Most importantly, it is seen that whereas at paragraph (i) of the operative portion of the award, the learned arbitrator has awarded Rs. 34,33,562, at paragraph (ii), the learned arbitrator has awarded the cost of arbitral proceedings by directing BBMP to pay to the claimant all money deposited by the claimant including any on behalf of the BBMP towards arbitrator's fee, administrative charges and sitting charges. From the above, it is clear that the learned arbitrator has separately awarded the cost of arbitration by directing BBMP to pay all amount deposited by claimant towards arbitrator's fee, administrative charges, sitting charges etc.

66. Therefore, the learned arbitrator has proceeded on the assumption that the sum of Rs. 34,33,562 in the claim petition is only the amount towards interest for delayed payment without realizing and without looking into the claim petition and Ex. P7 properly to appreciate that, in fact, the said amount of Rs. 34,33,562 comprises CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 of two parts viz. Rs. 19,33,562 towards delayed interest and Rs. 15 lakhs towards the cost of arbitration. Therefore, the award passed by the learned arbitrator awarding Rs. 34,33,562 for delayed interest, without realizing that the claim for delayed interest is only Rs.19,33,562 shocks the judicial conscience. Even if all the findings recorded by the learned arbitrator viz. claim is within limitation etc, were accepted, even then, the learned arbitrator could have only awarded a sum of Rs.19,33,562 towards claim No. 1 whereas, the Learned Arbitrator has awarded Rs. 34,33,562 towards claim No. 1 and separately awarded the cost of arbitration by directing the BBMP to pay all amounts paid by the claimant towards arbitration fee administrative charges and sitting charges. There is no finding by the learned arbitrator to show that, the learned arbitrator appreciated the fact that Rs. 34,33,562 is being claimed not only for delayed interest but also towards the cost of arbitration. Therefore the only conclusion to be drawn is CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 that, the award suffers from patent illegality appearing on the face of the award because the award gives Rs. 34,33,562 towards interest for delayed payment [claim No. 1] whereas the claim itself was for Rs. 19,33,562. The law as it presently stands does not permit this court to modify the award and therefore in view of this patent error and illegality appearing on the face of the award, the award is liable to be set aside on this ground also in toto.

67. Accordingly, for the reasons noted above, the present petition succeeds and answering the point for consideration in the affirmative, I proceed to pass the following :-

ORDER The petition under Section 34 of the Arbitration and Conciliation Act is allowed, with cost.

CT 1390_Com.AP 139-2024_Judgment.doc KABC170024392024 Consequently, the arbitral award dated 04-5-2023 passed by Learned Sole Arbitrator, namely Respondent No. 2 herein in AC 10 of 2022, is hereby set aside.

Office to issue soft copy of this
judgment to both sides, by email, if
furnished.

[Dictated using Dragon Professional Speech Recognition Software Version 15.3, transcript revised, corrected, signed and then pronounced by me in open court on this the 20th day of January, 2025] SUDINDRA SUDINDRA NATH S NATH S Date: 2025.01.22 10:36:04 +0530 (Sri. S. SUDINDRANATH) LXXXIII ADDL.CITY CIVIL AND SESSIONS JUDGE, COMMERCIAL COURT, BANGALORE.